CASE STUDY · PERFORMANCE MARKETING

Growing Spotify Premium Mini in India

A performance marketing plan to turn free listeners into first-time payers, then move them to monthly Premium: audience, goals, a channel budget, a 14-week timeline and an estimate of results.

Ajay Patil · Personal project · Feb 2024 · Revised Oct 2026

₹50L	14 wks	16,320	₹260
Illustrative budget	Campaign length	New payers, base case	Cost per new payer, base

1 · The product

Premium Mini is Spotify's short-term pass for India. At launch it cost **₹7 for a day** or **₹25 for a week**.[1] It gives ad-free listening, but it works on mobile only, and offline downloads are capped at **30 songs on one device**.[2] The full Premium Individual plan cost **₹119 a month** at the time of this project.[3]



> **The insight that shapes the plan:** the weekly pass is cheaper per day than the monthly plan (₹3.57 vs ₹3.97). Four weeks of passes cost ₹100, or about ₹107 for 30 days. So the upgrade from Mini to monthly cannot be sold on price. It has to be sold on what Mini lacks: desktop and web access, unlimited downloads, and not having to renew every week.

2 · Who we target

Students

18–24, on a tight budget, already stream daily. Want ad-free listening during exams and commutes.

Occasion listeners

Want Premium for a road trip, a wedding, or a house party, not every month.

Casual free users

Tolerate ads today. A ₹7 day pass shows them what ad-free feels like.

Mobile-first, Tier 2–3 cities

Pay with UPI, prefer small prepaid amounts, and have no reason to want desktop access.

All four groups share three traits: they are price-sensitive, they dislike ads, and they live on their phones. Mini's mobile-only limit doesn't hurt them.

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3 · Goals and KPIs

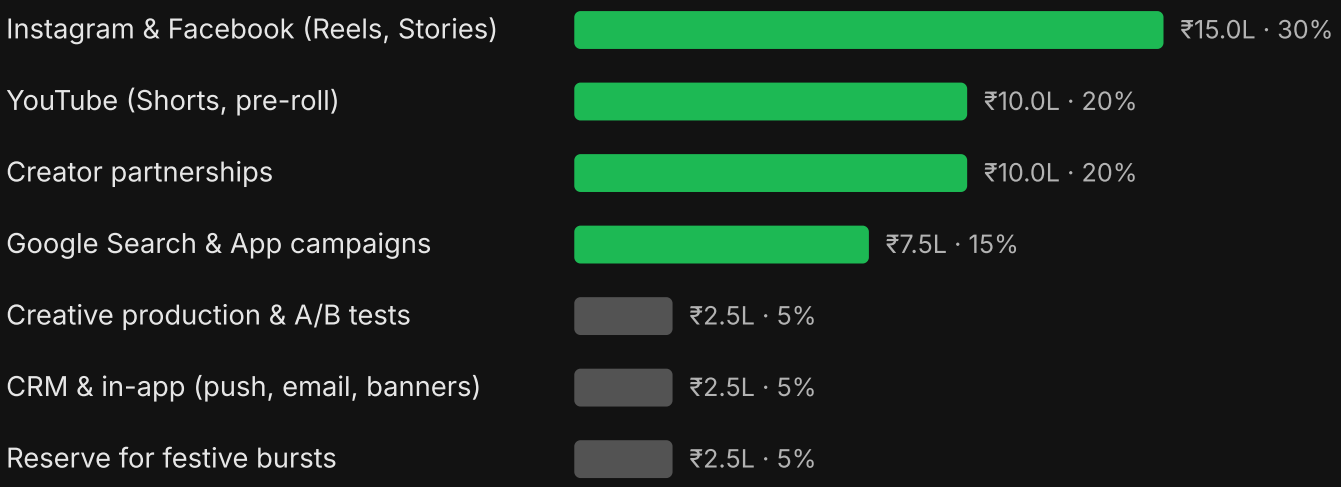
Goal	Target	By	KPIs
Awareness	+20% branded searches for "Premium Mini" vs. pre-campaign baseline	End of week 8 (first month after launch)	Branded search volume, impressions, reach, video views
First purchase	+15% relative lift in the free → first-Mini-purchase rate vs. baseline	End of week 14	Purchase rate, new paying users, CPA
Repeat	Average 3 weekly passes per new payer in the first 90 days	90 days after first purchase	Repeat purchase rate, passes per payer
Upgrade	10% of new payers move to monthly Premium	90 days after first purchase	Mini → monthly upgrade rate

> Mini is a paid pass, not a free trial, so conversion is measured in two steps: free user → first Mini purchase, then Mini buyer → monthly subscriber.

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4 · Channels and budget

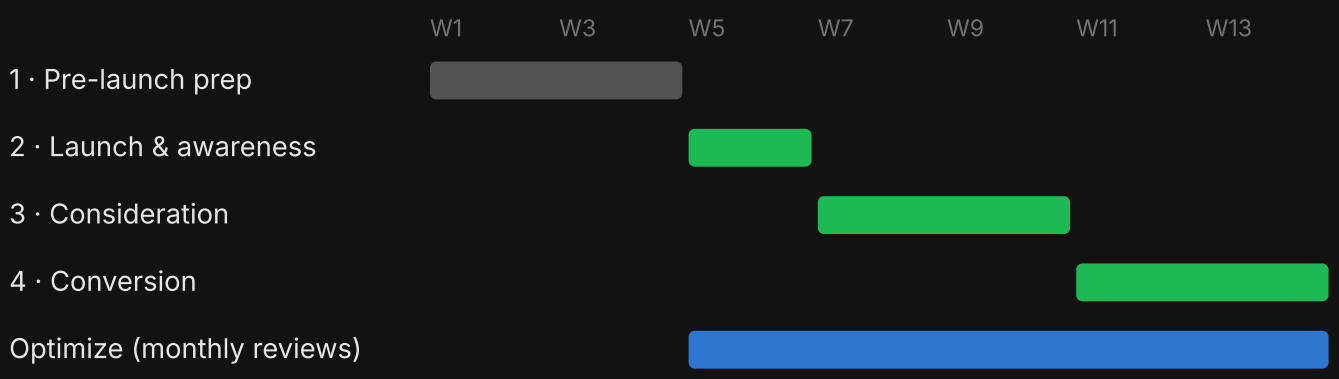
> Assumption: a total budget of **₹50 lakh** (₹5,000,000). This is an illustrative figure for planning, not a Spotify number.



Channel	Share	Budget	Job in the funnel
Instagram & Facebook (Reels, Stories)	30%	₹15.0L	Reach + retargeting
YouTube (Shorts, pre-roll)	20%	₹10.0L	Reach + video storytelling
Creator partnerships	20%	₹10.0L	Credibility with students
Google Search & App campaigns	15%	₹7.5L	Capture high-intent searches
Creative production & A/B tests	5%	₹2.5L	Assets, variants
CRM & in-app (push, email, banners)	5%	₹2.5L	Upsell existing free users
Reserve for festive bursts	5%	₹2.5L	Holi, IPL, summer travel
Total	**100%**	**₹50.0L**	**Paid media: ₹42.5L (first four rows)**

- **Instagram and YouTube get half the budget** because short video is where students and occasion listeners spend their time. Retargeting reaches people who visited the plan page but didn't buy.
- **Creators get 20%** because peer recommendation drives app choice for this audience. Creators show the product in a real moment, like a road-trip playlist.
- **Search gets 15%** to capture people already looking for "cheap Spotify Premium" or "Spotify ad-free".
- **CRM and in-app get only 5%** because they cost almost nothing per message. Existing free users are the cheapest audience to convert, and push, email and in-app banners reach them without buying media.

5 · Timeline (14 weeks)



Phase	Weeks	What happens	Spend
1 · Pre-launch prep	1–4	Final audience and messaging, produce creatives, sign creators, set up tracking, A/B test headlines	Production only
2 · Launch & awareness	5–6	Reels, Shorts and pre-roll go live; creator posts drop; watch reach and CTR daily	~30% of paid media
3 · Consideration	7–10	Feature-led ads (ad-free, offline); retarget plan-page visitors; in-app banners to free users	~35%
4 · Conversion	11–14	Time-limited offers, push reminders when a pass expires, upgrade prompts to monthly	~35%

Moments to plan around: Holi, the IPL season, wedding season, and summer travel. Each is a short window when an occasion listener wants Premium for a few days, which is exactly what Mini sells. The 5% reserve funds bursts around these moments.

6 · Campaign assets

Social ad copy

"Road trip this weekend? ₹25 covers the whole week. No ads, no interruptions."

"Exam week. Your playlist, without the ads. Try Premium Mini from ₹7."

Display & search copy

"Ad-free Spotify from ₹7 a day. Pay with UPI. No subscription."

"Going offline? Save up to 30 songs with Premium Mini."

Visuals

Phone screen showing an ad-free queue; a 6-second Reel cutting from an ad break to uninterrupted music; carousel of "moments" (trip, wedding, exam).

Upgrade messages (to Mini buyers)

"Your pass ends tonight. Keep listening on every device with Premium."

"Bought 3 weeks in a row? Go monthly and stop renewing."

Every claim in the copy matches what Mini actually includes. The copy never promises desktop access or unlimited downloads.

7 · Expected results

> Assumptions: paid media of ₹42.5L, a blended CPM of ₹100, and the funnel rates below. These are planning estimates, not industry benchmarks. Revenue per new payer is gross (before royalties and payment fees): 3 weekly passes (₹75) plus a 10% chance of upgrading to monthly for 6 months (₹71.4), which totals **₹146.4**.

	Bear	Base	Bull
Click-through rate	0.5%	0.8%	1.2%
Click → plan page view	50%	60%	70%
Plan page → first Mini purchase	5%	8%	12%
Impressions	42,500,000	42,500,000	42,500,000
Clicks	212,500	340,000	510,000
New paying users	**5,312**	**16,320**	**42,840**
Cost per new payer (CPA)	₹800	₹260	₹99
Expected gross revenue	₹7.8L	₹23.9L	₹62.7L
Revenue ÷ working media	0.18x	0.56x	1.48x

Reading the base case: the campaign brings in about **16,320 new paying users** at roughly **₹260 each**. Each payer is worth about ₹146 in gross revenue, so paid media alone does not pay back within six months. To break even, the plan-page purchase rate would need to reach about **14%** instead of the assumed 8%. Only the bull case clears that bar.

> **Why this replaces the "3X users" claim:** the original draft said users would grow up to 3X. That can't be checked without Spotify's current Mini subscriber count, so this version estimates the number of new paying users and shows the math behind it.

8 · Recommendations

1. **Lead with owned channels.** In-app banners and push messages to existing free users cost almost nothing, so they lower the blended CPA the most. Scale them first.
2. **Treat launch as a test.** Use weeks 5–6 to check each channel's CPA against the ₹146 break-even, then move the remaining 70% of paid media to the channels that beat it.
3. **Grow repeat purchases.** Each extra weekly pass per payer adds ₹25 of revenue. A loyalty nudge (for example, a discount after several passes) is cheaper than buying new users.
4. **Sell the upgrade on features, not price.** Weekly passes are cheaper per day than monthly, so the upgrade message should stress all-device access, unlimited downloads and not having to renew.

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9 · Risks and limits

- **Cannibalization:** some monthly subscribers could switch to weekly passes and pay Spotify less. Track downgrades alongside new payers.
- **Mobile only:** Mini cannot reach desktop listeners, so desktop placements are wasted spend.
- **Assumed numbers:** the budget, CPM and funnel rates are illustrative. Real campaign data would replace them after the test phase.
- **Prices change:** prices shown are launch-era figures. Spotify has since changed its India pricing, so they should be checked before any real use.

Sources

1. exchange4media — Spotify unveils 2 Premium Mini plans (Feb 2021)
2. TechStory — Spotify's new daily and weekly plans are cheaper now (Dec 2020)
3. Music Business Worldwide — Spotify cuts Premium prices in India (notes ₹119 monthly price before the Aug 2025 increase)

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